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The new rules for commodities trading firms in Switzerland

How Swiss and non-Swiss commodities trading firms will be affected by the new Swiss Financial Services Act (FINSA), the Swiss Financial Institutions Act (FINIA), and the revised Precious Metals Control Act (PMCA)

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The new rules in a nutshell

The Swiss Financial Services Act (FINSA) and the Swiss Financial Institutions Act (FINIA) and the related ordinances will enter into force on 1 January 2020. Although the ordinances are not yet final, it is clear that commodities trading firms will only marginally be affected by FINSA and FINIA if they are providing services similar to financial services.

Commodities trading firms trading in financial instruments are generally exempted from the scope of application of the Swiss Financial Services Act (FINSA), unless they provide financial services similar to a financial institution in the form of:

i. hedging solutions by means of OTC derivatives or other financial instruments to parties

ii. investment advice related to financial instruments (such as commodities derivatives),

iii. distribution of financial instruments (e.g. commodities derivatives) issued by group companies to clients in Switzerland, or

iv. granting credit for the purchase of financial instruments (such as commodities derivatives).

Any of these activities will trigger the obligations under FINSA, no matter whether provided out of Switzerland or on a cross-border basis from outside of Switzerland into Switzerland to existing or prospective clients. FINSA is expected to enter into force on 1 January 2020. The new duties triggered by FINSA include information, documentation, behavioural, conflict of interest and organisational obligations as well as the obligation to enter client advisors having contact with clients in Switzerland into a client advisor register and to affiliate with a Swiss Ombudsman for financial services. Marketing material must be clearly labelled as such.

Commodities trading firms trading on own account in financial instruments for hedging purposes of their exposure in physical commodities are not, as was the case under the pre-FINIA regime, subject to a licensing requirement as an investment firm (the former securities dealer) under the Swiss Financial Institutions Act (FINIA). Proprietary trading activities that are primarily made for short-term trading purposes in the financial markets (not just the hedging of the trading in physical commodities), such as the trading on own account in securities, can trigger a licensing obligation under FINIA if the gross annual turnover in securities exceeds CHF 5 billion or the trader is a participant to a trading venue.

Special rules will apply to trade assayers trading in precious metals. They will have to get licensed by the Swiss Financial Market Supervisory Authority FINMA.

The Swiss Financial Services Act

The affected financial services, financial instruments and clients in Switzerland

The new Swiss Financial Services Act (FINSA) affects all financial service providers that purchase, sell or distribute financial instruments, receive or transmit orders related to financial instruments, provide asset management or investment advice, and grant loans to finance transactions with financial instruments for clients in Switzerland, no matter whether provided in Switzerland or on a cross-border basis from outside of Switzerland into Switzerland to existing, but also potential new clients.[1]

Commodities trading firms are typically not providing financial services in the sense of FINSA if they are engaging in said activities on own account or for group companies. Swiss or non-Swiss commodities trading firms that provide in Switzerland or on a cross-border basis, similar to a financial service provider, independently and on a professional basis (in general for more than 20 clients if no public advertisement for the services is made) one of the following activities can, however, fall within the scope of FINSA, unless these services have been explicitly requested by the client without prior solicitation efforts from the part of the affected commodities trading firm:

1. Hedging solutions, no matter whether in the form of OTC derivatives or ETD, to third parties that are not group companies and that are not directly linked to physical commodities trading. Such activity will be an execution of financial instruments in its purest form, but will in most cases be investment advice related to financial instruments (such as OTC derivatives an ETD), because the commodities trading firm will advise the client on the structure and type of financial instrument best suited for the purpose;
2. distribution of financial instruments (e.g. OTC derivatives or ETD having commodities as an underlying) to clients in Switzerland that have been issued by group companies or third parties;[2] and/or
3. granting credit for the purchase of financial instruments (e.g. OTC derivatives or ETD having commodities as an underlying), although credit activities are generally out of scope of FINSA.

The universe of affected financial instruments to which the financial services must relate to trigger the application of FINSA are essentially the same as under MiFID II (shares, bonds, derivatives, structured products, funds, structured deposits).

The applicable obligations for non-Swiss client advisors and non-Swiss financial service providers

If commodities traders fall within the scope of FINSA, they will have to comply with multiple obligations. These obligations are segmented into behavioural rules and organisational obligations as well as the obligation to enter client advisors into the client advisor register and to affiliate with an Ombudsman. Some of these obligations are similar to the ones under MiFID II. Other obligations differ from MiFID II materially. It has to be decided on a case by case basis whether the MiFID II standard is sufficient for compliance with the FINSA-regime.

Behavioural rules in detail

Commodities trading firms subject to FINSA will have to comply with the following behavioural rules:

i. Client segmentation obligation:
Commodities trading firms in scope of FINSA must assign the persons to whom they provide financial services to the segments of either retail clients, professional clients or institutional clients, based – in general – on the qualification of the client.[3] Clients of commodities trading firms will typically be professional or institutional clients. As under MiFID II, in FINSA the client has the opportunity to declare that he would like to change the segment. A professional client is a person who can credibly declare that on the basis of training, education and professional experience or on the basis of comparable experience in the financial sector, she or he possesses the necessary knowledge to understand the risks associated with the investments and has at their disposal assets of at least CHF 500,000. A professional investor can alternatively also have at his or her disposal assets of at least CHF 2 million. No knowledge or experience is required in this case. Professional clients who are not institutional clients may declare that they wish to be treated as retail clients at the higher protection level (opting in). Institutional clients may declare that they wish to be treated only as professional clients (opting in). Institutional clients are licensed financial intermediaries, insurance companies, corresponding foreign institutions, or public companies having a person taking care of the management of assets on a full-time basis. Compliance with the obligation to provide information, documentation and rendering account may be waived for professional clients, and the appropriateness and suitability test must only be carried out if there are doubts about a sufficient understanding of the business.[4] The client segmentation obligation must be met within one year of the entry into force of FINSA and FINSO, likely by 1 January 2021.

ii. Obligation to provide information:
The financial service provider is obliged to provide information about both his general activities and specific activities. The clients must be informed before the signing of the contract or provision of the service in order to have sufficient time to understand the information regarding the client relationship or the provision of the financial service.[5] Financial service providers must satisfy this duty within one year of entry into force of FINSO, likely by 1 January 2021.

iii. Obligation to conduct an appropriateness and suitability test:
Assuming that most clients of commodities trading firms in scope of FINSA will be professional or institutional investors, the suitability and appropriateness test obligations will generally not apply. If they apply, however, and if financial service providers provide investment advice only for individual transactions without taking into account the entire client portfolio, a suitability assessment must be carried out.[6] The financial service providers must check whether financial instruments are appropriate for its clients before recommending them.[7] In the case of investment advice taking into account the client portfolio or portfolio management, it must enquire about its clients' financial situation and investment objectives as well as their knowledge and experience.[8] These duties must be met within one year of entry into force of FINSO, likely by 1 January 2021.[9]

iv. Obligation to document and render of account:
Commodities trading firms falling within the scope of application of FINSA are subject to extensive documentation requirements relating to financial services agreed with clients, information about them, information about a missing or unsuccessfully conducted appropriateness or suitability test, and the services provided to clients. In investment advice, they also document the needs of clients, as well as the reasons for each recommendation that leads to the purchase or sale of a financial instrument.[10] Both obligations must be met within one year of entry into force of FINSA and FINSO, likely by 1 January 2021.[11]

v. Obligation to provide documents:
The clients are entitled at any time to receive a copy of their dossier and all documents concerning them. Due to the regulatory nature of the claim, the client cannot waive it. The request must be made in writing or in another form demonstrable via text. One copy is sufficient.

vi. Handling of client orders:
Financial service providers must uphold the principles of good faith and equal treatment when handling client orders.[12] The financial services provider must have systems and processes that are commensurate in size, complexity and business, and that ensure equal treatment of client's interests.[13]

vii. Best execution of client orders:
The best execution principle is mainly used by commodities trading firms within the scope of FINSA that either execute transactions themselves or forward orders to third parties. They have to ensure in the execution of their clients' orders that the best possible outcome is achieved in terms of cost, timing and quality. Both own and third-party costs have to be considered.[14] Each affected commodities trading firm establishes its own Best Execution Policy in the form of an internal policy based on the size and content of the affected transactions and the relevant client categories.

1 Art. 3 lit. 1 FINSA.
2 See Art. 3 D-FINSO.
3 Guillaume Braidi, classification of clients according to the Financial Services Act, Swiss Review of Business and Financial Market Law, SZW, Zurich 2018, p. 485.
4 Dispatch on the Financial Services Act (FINSA) and Financial Institutions Act (FinIA) of 4 November 2015, Federal Gazette 2015, p. 8901 et seq., 8957 et seq.
5 Art. 9 para. 1 FINSA in conjunction with art. 13 D-FINSO.
6 Cf. Distinction of selective investment advice from investment advice, which takes into account the entire portfolio (Luc Thévenoz, FINSA and contract law. An introduction, in: Bank Contract Law, Susan Emmenegger (ed.), SBT Swiss Banking Law Day 2017, p. 249.).
7 Art. 12 FinIA.
8 Adrian Andermatt, Ttransaction-oriented investment advice under the new Financial Services Act (FINSA), Law Journal on Corporate and Capital Markets Law GesKR 2017, p. 75 et seq.
9 Art. 105 D-FINSO.
10 Art. 15 FINSA.
11 Art. 105 D-FINSO.
12 Art. 17 FINSA.
13 Art. 20 D-FINSO
14 Art. 18 FINSA, art. 21 D-FINSO.

viii. Use of financial instruments of the client:
Clients must agree, in a separate agreement to the terms and conditions, in writing or in another form demonstrable via text, that financial instruments from their holdings are being lent to counterparties by the commodities trading firm in the scope of FINSA or that the financial service provider is brokering such transactions.

Organisational requirements

All commodities trading firms in scope of FINSA must comply with the following organisational obligation, regardless of whether they serve institutional, professional or retail clients. Financial services providers must have within one year of the entry into force of FINSA and FinIO, likely by 1 January 2021, an appropriate organisation.[15]

i. Appropriate organisation
Commodities trading firms which fall within the scope of FINSA must ensure compliance with the obligations under FINSA through an organisation that is appropriate to their size, complexity, business activity and risk profile, and through internal rules. Staff must be carefully selected, trained and registered in the register of advisors. The remuneration policy must be designed in such a way that there are no incentives for the staff to disregard statutory duties or to conduct themselves in a manner detrimental to clients.[16]

ii. Organisational precautions to prevent conflicts of interest
Commodities trading firms in scope of FINSA are responsible for representing the client's interests when conducting financial services. Conflicts between different client interests must be avoided. The self-interest of the affected commodities trading firm, their staff's interests and the interests of third parties must not conflict with the clients' interests.[17] In organisational terms, the affected commodities trading firm must have an internal directive that adequately addresses and regulates conflicts of interest.

iii. Compensation from third parties (commissions)
A particularly common type of a potential conflict of interest are compensations from third parties, for example, financial benefits in the form of "soft dollars", brokerage fees, discounts, commissions, which the affected commodities trading firm receives in connection with the provision of financial services from third parties. Under supervisory law and contract law, commissions generally belong to the client in their entirety. If they cannot be passed on to the client, such as "soft dollars", they must be disclosed to the client as a conflict of interest.[18]

iv. Staff transactions
FINSA also provides an explicit provision for a second conflict of interest constellation. These have to do with staff transactions. This includes all natural and legal persons who work for the commodities trading firm in scope of FINSA and their family members and other related persons.[19] Financial service providers must take adequate measures to prevent staff from misusing for own-account transactions any information made available to them only by virtue of their function.[20]

Obligation to affiliate with an Ombudsman

Commodities trading firms in scope of FINSA are also subject to the obligation to be affiliated with an Ombudsman.

Obligation to enter non-Swiss client advisors of Swiss clients and client advisors who provide financial services in Switzerland into the client advisor register

Client advisors of commodities trading firms in scope of FINSA must be entered in the client advisor register prior to the provision of any financial services in Switzerland or prior to the provision of financial services from outside Switzerland to Swiss-based clients.[21] The entry into the client advisor register is thus a non-negotiable requirement for the access to the Swiss market. The wording within FINSA suggests that this obligation affects every client who (even temporarily) resides in Switzerland (e.g. a UK-domiciled client is on a business trip in Geneva). The entry into the register of advisors must by law be finalised no later than 30 June 2020[22].

The requirements for entry are sufficient knowledge of the behavioural rules under FINSA, required knowledge related to the activity, a professional liability insurance or equivalent security, the affiliation to an Ombudsman, no entry in the criminal register regarding property under the Swiss Criminal Code and no industry ban or prohibition issued by FINMA.[23] The client advisor register has the discretion to decide whether a specific client advisor has sufficient knowledge about the behavioural rules under FINSA and for conducting the financial services. This knowledge will easily be provable by passing a test that can be accessed online on a 24/7-basis. Client advisors must have the necessary knowledge within one year of the entry into force of FINSA and FINSO, likely by 1 January 2021.[24] The client advisors must prove at the time of application, based on documents and possibly also by means of an oral interview, that he/she has the required knowledge and capabilities. The client advisor register contains as a minimum the following information about client advisors:[25]

- Name and surname
- Name or firm and address of the financial service provider for which they are active
- Function and position of the client advisor within the organisation
- Fields of activity
- Education and continuing professional education
- The name of the Ombudsman, to whom the financial service providers are affiliated with
- Date of entry

Furthermore, client advisers must report the following developments to the register within 14 days:[26]

- Any change in their name or address and of the financial service provider for which they work
- Any change in their function and position within the organisation and their areas of activity
- Completion of basic training and continuing professional development
- Any change of the Ombudsman
- The complete or partial termination of the professional liability insurance
- Termination of the activity as client advisor
- Issued loss certificates (Verlustscheine) in their name
- Convictions for criminal offences under the Swiss financial market acts or for criminal offences against property or comparable convictions handed down by foreign authorities
- Imposed Swiss and non-Swiss prohibitions on them from performing respective activities/ from practising

Sanctions in case of non-compliance with the new rules

It is important that affected non-Swiss financial service providers, non-Swiss client advisors, and producers of financial instruments comply with the new obligations. Deliberate non-registration with the client advisor register can be sanctioned with imprisonment of up to three years and non-diligent non-registration with a fine of up to CHF 250,000 per case. The Swiss Financial Market Supervisory Authority FINMA may also open an investigation for the unlawful provision of financial services and sanction the financial service providers and client advisors involved accordingly.

15 Art. 106 D-FINSO.

16 Art. 21 FINSA in conjunction with art. 23 D-FINSO.

17 Art. 28 D-FINSO in conjunction with art. 25 FINSA.

18 Art. 29 para. 1 D-FINSO.

19 Art. 30 D-FINSO. Explanatory report on the consultation procedure of the Financial Services Ordinance (FINSO), Financial Institutions Ordinance (FinIO) and Supervisory Organisation Ordinance (SOO) 24 October, p. 31.

20 Art. 27 FINSA.

21 Art. 28 FINSA.

22 Art. 95 para. 1 FINSA.

23 Art. 29 FINSA.

24 Art. 104 D-FINSO.

25 Art. 30 FINSA.

26 Art. 41 D-FINSO.

The Swiss Financial Institutions Act

Affected commodities trading firms

The Swiss Financial Institutions Act (FINIA) regulates the licensing and licensing requirements of financial institutions such as investment firms (the former securities dealer), fund management companies, asset managers of collective investment schemes, external asset managers, and trustees. It is expected to enter into force on 1 January 2020. Commodities trading firms trading in securities[27], such as ETDs and non-bespoke OTC derivatives, can become subject to the obligation to get licensed as an investment firm under FINIA if they are engaged in short-term trading activities in securities and are "mainly active in financial markets". It is likely that the "mainly active in financial markets" will be construed similarly like under the pre-FINSA-regime,[28] meaning that there will be a group consolidated view of the activity and that the activities of commodities trading firms/groups are mainly seen as commercial. This means, in other words, that the trading activities of one or more trading desks of a commodities trading firm or a group company in commodities derivatives that are securities that are not directly linked to a transaction in physical commodities must be reviewed on a case-by-case basis whether they trigger the requirement to get licensed as investment firm.

As under the pre-FINIA regime currently in force, commodities trading firms engaging in proprietary trading activities regarding commodities derivatives on own account hedging their physical trading activities or the physical commodity exposure of one or their group companies are typically not engaging in activities that require a license as investment firm. They can, however, engage in an activity that requires a license as investment firm if they are mainly active on financial markets and (i) either engage in proprietary trading activities in commodities derivatives for speculative purposes and if their annual overall turnover in securities exceeds CHF 5 billion or (ii) they are participant to a trading venue. Market making in securities or client trading activities (in the name of the investment firm, but on behalf of their clients) in securities such as ETDs or other financial instruments can only be performed with an investment firm license.[29] Client trading activities require that the affected company holds directly or indirectly accounts or holds securities in custody for more than 20 clients. No clients are group companies, shareholders, licensed banks and investment firms or other supervised entities and companies that have a person that manages on a full-time basis the assets of the company.[30]

Any commodity trading firm that will have to get licensed as an investment firm under the new FINIA-regime will have to notify FINMA about this fact no later than 30 June 2020 and will have to submit its application no later than 31 December 2023.

[27] Securities are uncertificated securities, certificated securities, derivatives, and book entry securities standardiszed and apt for mass trading (Art. 3 lit. b FINSA).

[28] See the FINMA-circular 2008/5 securities dealers.

[29] See Art. 41 FINIA.

[30] See Art. 57 D-FINSO.

Obligations of an investment firm

Applying for a license

Anyone falling within one of the categories of a securities dealer mentioned above has to apply for a license as an investment firm with the Swiss Financial Market Supervisory Authority, FINMA. The license will be granted if certain key requirements are fulfilled at the time that the license is granted and on an ongoing basis thereafter.

Organisational requirements

An investment firm must have an adequate organisation in place that allows for the execution of its activities. The investment firm must have a board of directors and a management team. The members of the management team will have to be fit and proper for the execution of their respective functions. There must be an adequate separation between trading and administration. The investment firm must also establish an internal control system consisting of compliance, risk management and internal audit. An external regulatory audit firm must also be appointed. It is possible to unify some of the control functions with a specific person.

Capital requirements

Any investment firm must have fully paid-in minimal capital of at least CHF 1.5 million. Additional regulatory capital requirements apply, however, in most cases. Any shareholder indirectly or directly holding more than 10 % of the capital or the voting rights of an investment firm or that may in any other way influence the business activities of the investment firm must meet FINMA's fit and proper criteria. The provisions applicable to banks regarding their own capital and accounting generally also apply to an investment firm. Privileged deposits of clients are subject to enhanced protection.

Reporting, information and approval obligations

Any investment firm will have to comply with multiple reporting, information and approval obligations on an ongoing basis. Any change to the preconditions for granting the license, but in particular the articles of association, regulations, material change of business activity, management, board of directors and external audit firm, as well as build-ups, investments and divestments of foreign operations, must be pre-approved by FINMA.

Any indirect or direct acquisition or sale of a stake in an investment firm reaching, exceeding or falling below the thresholds of 20 %, 33 % or 50 % of the capital or the votes must be reported to FINMA.

Algorithmic and high frequency trading

Participants in Swiss trading venues that are engaging in algorithmic or high frequency trading activities are subject to enhanced recording requirements and their systems must ensure adequate functioning even in stress situations.

The new rules for trade assayers in precious metals

The new regime applicable to trade assayers in precious metals

Other acts, such as the Precious Metals Control Act (PMCA) and the Anti-Money Laundering Act (AMLA), will be amended in the context of FINIA. Trade assayers[31] are financial intermediaries in the sense of the AMLA.[32] Such companies are currently often directly subordinated to the Swiss Financial Market Supervisory Authority (FINMA). This status of the directly subordinated financial intermediaries will be repealed by the new financial market regulation. Therefore, trade assayers either will have to register with a self-regulatory organization (SRO) or will have to be authorised by FINMA and supervised by a supervisory organization (SO). Whether the former or the latter applies depends on the trade assayer's business activity.

The two types of trade assayers

The new regulatory framework will differentiate between two types of trade assayers that will be subject to different requirements and supervised by different institutions. The distinguishing criterion will be whether a trade assayer trades on a commercial basis[33] in banking precious metals.[34] Both trade assayers trading in such metals themselves and through a group company fulfil this criterion. SOs will supervise trade assayers trading in banking precious metals. Being subject to state supervision is a precondition for admission to most international market places for precious metals, such as the London Bullion Market Association (LBMA). International precious metal market places are expected to recognize the SOs as state supervision. Thereby admission to the international market places should be ensured.

Trade assayers not trading in precious banking metals will need to register with an SRO and will not be supervised by SOs. These SROs are expected not to be recognized as state supervision by international market places.

The new requirements

The requirements imposed on trade assayers by the new financial market regulation vary depending on whether or not they trade in banking precious metals.

Not trading in banking precious metals

Trade assayers[35] falling in this category are currently either affiliated to an SRO or directly subordinated to FINMA. In the former case, they can stay with the SRO. In the latter case, they will need to affiliate to an SRO to comply with the AMLA.[36] This will require:

- Filing an application with an SRO;
- Drafting an AMLA policy;
- Setting up a client onboarding process including know-your costumer (KYC) checks;
- Define owners for the anti-money laundering duties (AMLA officer and deputy);
- Appointing an AMLA auditor.

Trade assayers that are currently not affiliated to an SRO but directly subordinated to FINMA may leverage their existing anti-money laundering framework. However, the transfer from being directly subordinated to FINMA to being affiliated to an SRO will require changes to the anti-money laundering related documentation and processes. Each trade assayer will need to assess individually which SRO it prefers, to what extent their existing anti-money laundering set-up meets the SRO's requirements, and which AMLA auditor they will appoint.

Trading in banking precious metals

Trade assayers trading in banking precious metals[37] themselves or through a group company will need to be authorized by FINMA and will be subject to the ongoing supervision of an SO.[38] A group company trading in banking precious metals of a trade assayer requires authorisation as well. In order to be authorised a trade assayer needs to:

- Establish appropriate corporate management rules;
- Organise itself to be able to fulfil its statutory duties;
- Identify, measure, control and monitor risks and organise respective internal controls;
- Be effectively managed from Switzerland;[39]
- Provide guarantee of irreproachable business conduct;
- Maintain a minimum capital of CHF 100,000 that is fully paid up in cash.[40]

31 Trade assayers according to Art. 41 ff. PMCA (DE: "Handelsprüfer", FR: "Essayeurs Du Commerce", IT : "Saggiatori Del Commercio")

32 Art. 2 para. 3 let. C AMLA

33 An independent economic activity pursued on a permanent, for profit basis (Art. 3 FINIA).

34 Banking precious metals are: (i) ingots and granules of gold with a minimum fineness of 995 parts per thousand, (ii) ingots and granules of silver with a minimum fineness of 999 parts per thousand, (iii) ingots and sponges of platinum or palladium with a minimum fineness of 999.5 parts per thousand (Art. 178 PMCO)

35 Art. 41 PMCA

36 Art. 14 AMLA and Art. 2 para. 3 AMLA as amended by FINIA

37 Art. 42bis PMCA as amended by FINIA

38 Art. 43a para. 1 Financial Markets Supervision Act (FINMASA) as amended by FINIA

39 General directives and decisions within the context of group supervision are excluded, if the trade assayer forms part of a financial group that is subject to appropriate consolidated supervision.

40 Art. 34b ff. PMCO-Draft as amended by FINIO-Draft

Qualified participants[41] in a trade assayer and persons responsible for its administration or management are subject to the requirements listed below.

- Persons responsible for administration and management have to:
  - Provide the guarantee of irreproachable business conduct;
  - Enjoy a good reputation and have the specialist qualifications required for their functions.
- Persons responsible for management in addition have to:
  - Be resident in a place from which they may effectively exercise management;
- Qualified participants have to:
  - Enjoy a good reputation and ensure that their influence is not detrimental to prudent and sound business activity.[42]

The trade assayer's authorization application will need to set out that the aforementioned criteria are fulfilled. After being authorized trade assayers need to:

- Notify FINMA in case of any changes in the facts on which the authorisation is based;
- Request prior authorization from FINMA in case of material changes.[43]

Timeline

Trade assayers should start preparing for the regulatory changes rather sooner than later to avoid both not being compliant or rash changes to their corporate governance.

FINIA and the related amendments of AMLA and PMCA as well as the respective ordinances are expected to come into force on 1 January 2020. The below deadlines are based on this assumption.

Not trading in banking precious metals

Trade assayers not trading in banking precious metals and currently affiliated to an SRO can stay with this SRO. Trade assayers directly subordinated to FINMA will need to submit an application to an SRO in 2020. The business activity may be continued until the SRO has decided on the application.[44] The SRO will verify whether the trade assayer complied with its AMLA duties since the last FINMA audit.[45]

Trading in banking precious metals

Trade assayers trading in banking precious metals and affiliated to an SRO have to stay with this SRO until they are supervised by a SO and authorized by FINMA. Such trade assayers need to:

- Notify FINMA by 30 June 2020;
- Fulfil the obligations imposed by FINIA by the end of 2021; and
- File an authorisation application with FINMA by the end of 2021.

The business activity can be continued until a decision has been made on the application.[46]

The same applies to trade assayers trading in banking precious metals and directly subordinated to FINMA. In addition, such trade assayers would need to be affiliated to an SRO temporarily before becoming subject to SO supervision. This transitory supervision by an SRO can be avoided, if the trade assayer:

- Receives confirmation on being supervised by an SO by the end of 2020; and
- Files an authorisation application with FINMA by the end of 2020.

The SO will verify whether the due diligence under AMLA has been observed since the last FINMA audit.[47]

41 Qualified participants are persons who directly or indirectly hold at least 10 % of the share capital or votes or who can significantly influence the business activity in another manner.

42 Art. 34c ff. PMCO-Draft as amended by the FINIO-Draft

43 Art. 34a PMCO-Draft as amended by FINIO-DRAFT

44 Art. 42 AMLA as amended by FINIA

45 Transitional provisions AMLO-Draft as amended by the FINIO-Draft

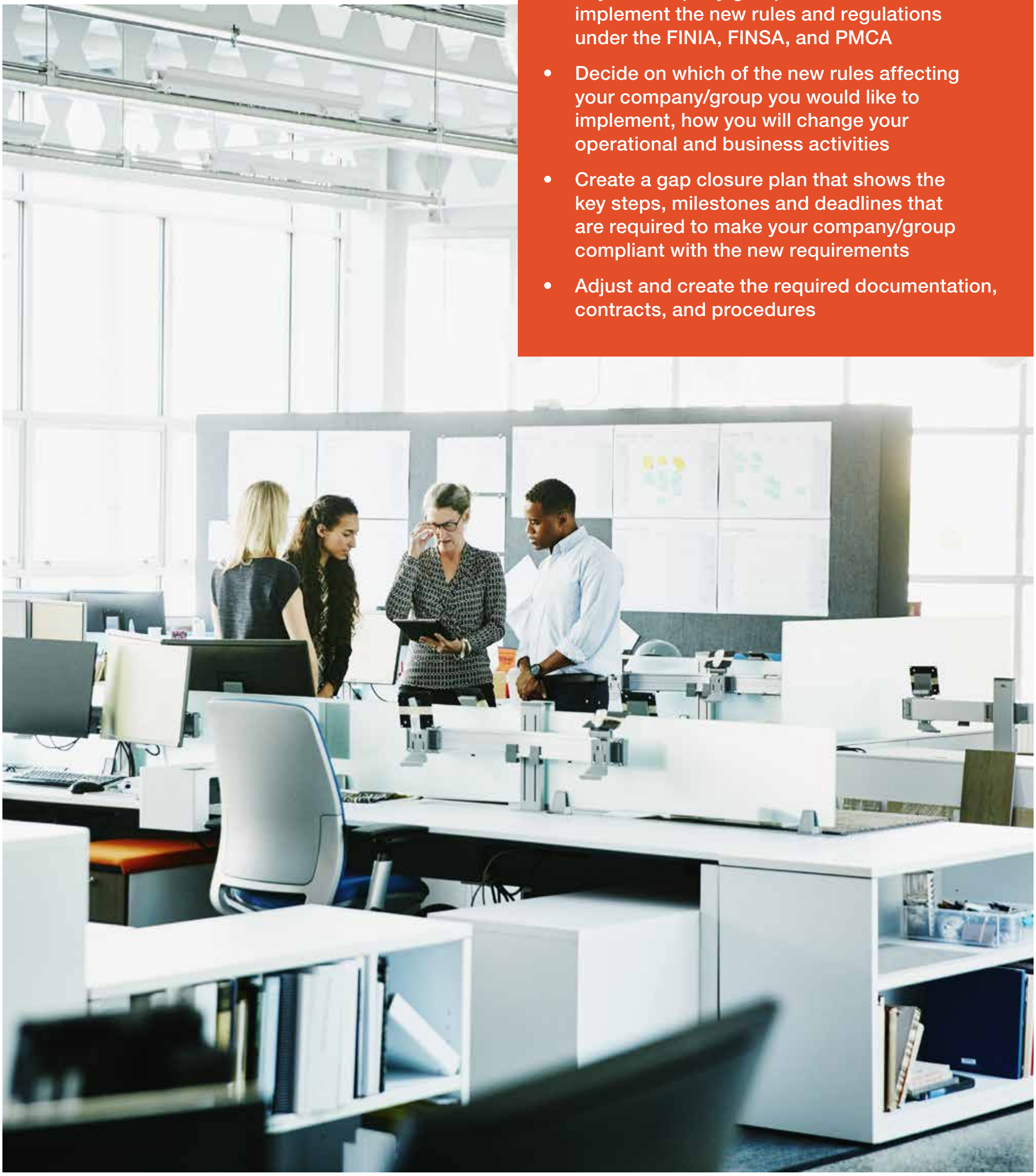
46 Final provision PMCA as amended by FINIA

47 Final provision PMCO-Draft as amended by the FINIO-Draft

What commodities trading firms having clients or an operation in Switzerland are to do now

Commodities trading firms that have clients or an operation in Switzerland should now start to prepare for the new FINSA, FINIA and eventually the PMCA regimes by taking in particular the following key steps:

- Create an impact analysis checking how your Swiss and non-Swiss operation and activities will be affected by the new FINSA, FINIA, and eventually the PMCA regimes
- Create a gap analysis showing the gaps between the readiness of the current set-up of your company/group and activities to implement the new rules and regulations under the FINIA, FINSA, and PMCA
- Decide on which of the new rules affecting your company/group you would like to implement, how you will change your operational and business activities
- Create a gap closure plan that shows the key steps, milestones and deadlines that are required to make your company/group compliant with the new requirements
- Adjust and create the required documentation, contracts, and procedures



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